

Discussion of Alok, Ghosh, Kalda, & Mitra “The Buy Now Pay Later Divide: Merchant Heterogeneity and Market Structure”

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Buy Now Pay Later (BNPL): A Global Issue From New York to New Delhi!

Politics

Mamdani administration presses Albany for tougher 'buy now, pay later' rules — and the power to enforce them

am By Adam Daly

Posted on September 20, 2026

Comments



DCWP Commissioner Sam Levine alongside Mayor Zohran Mamdani and Lina Khan, chair of the board of directors for the New York City Economic Development Corporation, at a July 10, 2026 press conference.

Photo by Lloyd Mitchell

Understanding the 2025 RBI Digital Lending Guidelines

The 2025 guidelines are a continuation of RBI's efforts since 2022 to bring digital lending under regulatory oversight. They stem from the final recommendations of the Working Group on Digital Lending and build on the guidelines published in August 2022. Key changes include:

- **Direct Lending Only by RBI-Regulated Entities (REs):** BNPL platforms must now operate exclusively with REs like NBFCs or banks, thus keeping non-regulated players out of lending activities.
- **Loan Disbursal and Repayment Flow Control:** All disbursements and repayments must be processed directly between the borrower and the RE, with third-party app or wallet disbursement kept out.

This Paper

Studies BNPL in fascinating Indian setting with rich data on heterogeneous merchants and their adoption of BNPL

Research Questions

1. Which merchants benefit most from BNPL?
2. Does BNPL expand the overall market or merely redistribute demand?

This Paper

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Research Questions and Answers

1. Which merchants benefit most from BNPL?

Small, credit-constrained merchants

Large overall gains (revenue growth +93 pp per month; credit +18 pp)

2. Does BNPL expand the overall market or merely redistribute demand?

Expands overall market

The Supply Side of BNPL

What we know

- BNPL enables price discrimination (Berg, Burg, Keil, & Puri, 25)
- Merchant demand for BNPL varies with competition + consumer biases (Desai & Jindal, 24)

Where Alok, Ghosh, Kalda, & Mitra (26) adds:

- Empirical study of merchant heterogeneity in BNPL adoption
- Large-scale study of BNPL in India where the product and environment appears quite different to the existing BNPL empirical research (mainly US, UK, & Germany)
- **Will add to my MBA FinTech class!**

(See [Guttman-Kenney & Zhang, 2026](#) for a review of academic literature on BNPL)

#1: Market Effects

“BNPL predominantly expands the market rather than only redistributing existing demand”

- **Observed:** **One** payment processor and that processor’s BNPL loans
- **Unobserved:**
 - Cash + digital transactions with other payment processor
 - All other BNPL loans

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Unobserved data means that:

- Large effects may be BNPL **shifting revenues** to that merchant’s processor
- Merchants (*especially* non-adopters) may be using BNPL elsewhere

Suggestion:

- **Avoid market-level claims & claims about non-adopters (or gather data!)**
- **Focus on merchant heterogeneity**

#2: Institutional Setting

Why Would Merchants Adopt BNPL in the US/UK?

- Consumer pays no fee to BNPL lender (typically)
- Merchant pays % of transaction as fee to BNPL lender
 - Fee covers BNPL lender's costs (expected defaults) + profit margin
- Merchant adopts BNPL if $E[\text{benefits}] > E[\text{costs}]$
 $E[\text{marginal revenue with BNPL}] > E[\text{BNPL fee} - \text{credit card merchant fee}]$
+ Fixed costs of adoption

BNPL With This Lender Is Subsidized

- Merchant pays **no transaction fee to BNPL lender** (also no consumer fee)
- BNPL must be paid for by the payment processor's other business
- I.e., BNPL must increase the processor's payment volume to be worthwhile

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Implications for paper's estimates and broader generalizability:

1. If BNPL is increasing payment coverage, this biases your outcomes but is an **interesting new result in itself: BNPL as loss-leader for payments**
 - Adopters have higher coverage (vs. non-adopters) from BNPL adoption date onwards
2. Types of merchants that adopt BNPL with this lender are likely to be different from merchants who adopt without cross-subsidy
 - Applies to other countries, but potentially also to other BNPL lenders in India
 - With fees, expect selection on potential gains (small merchants adopt less)

#3: Identification

This Is Not the Shift-Share You Are Looking For



- Shift-share identification comes from:
 - (1) Many exogenous shifts, shares can be endogenous
 - (2) Exogenous shares, shifts can be endogenous

$$Z_{pt} = \text{UPIGrowth}_{p,2017-2019} \times \text{BNPLLaunch}_t$$

- Only one shift (November 2021 BNPL Launch) so not identified in (1)
- For (2), need UPI growth exogeneity...and with only one event it is:
Difference-in-Differences with continuous treatment intensity

Borusyak, Hull, & Jaravel (24 RESTUD; 25 JEP); Goldsmith-Pinkham, Sorkin, & Swift (20 AER); + PGP slides

I Want to See a Map of UPI Growth! (Not the Number of Merchants & BNPL Adopters)

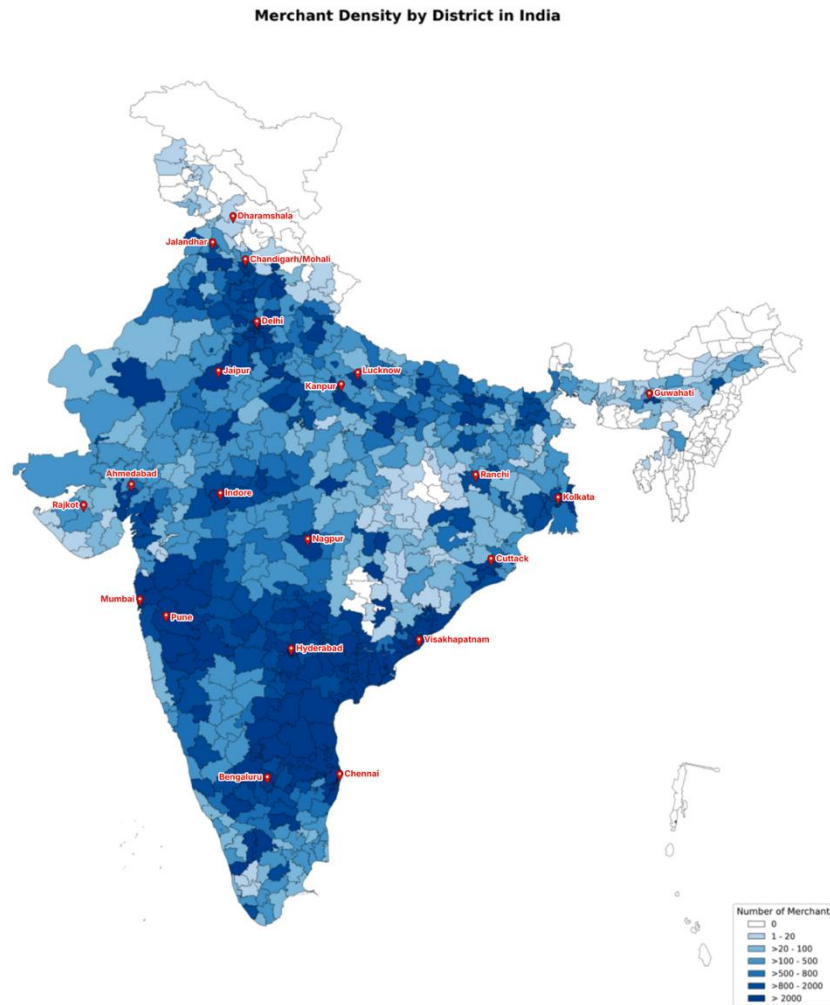
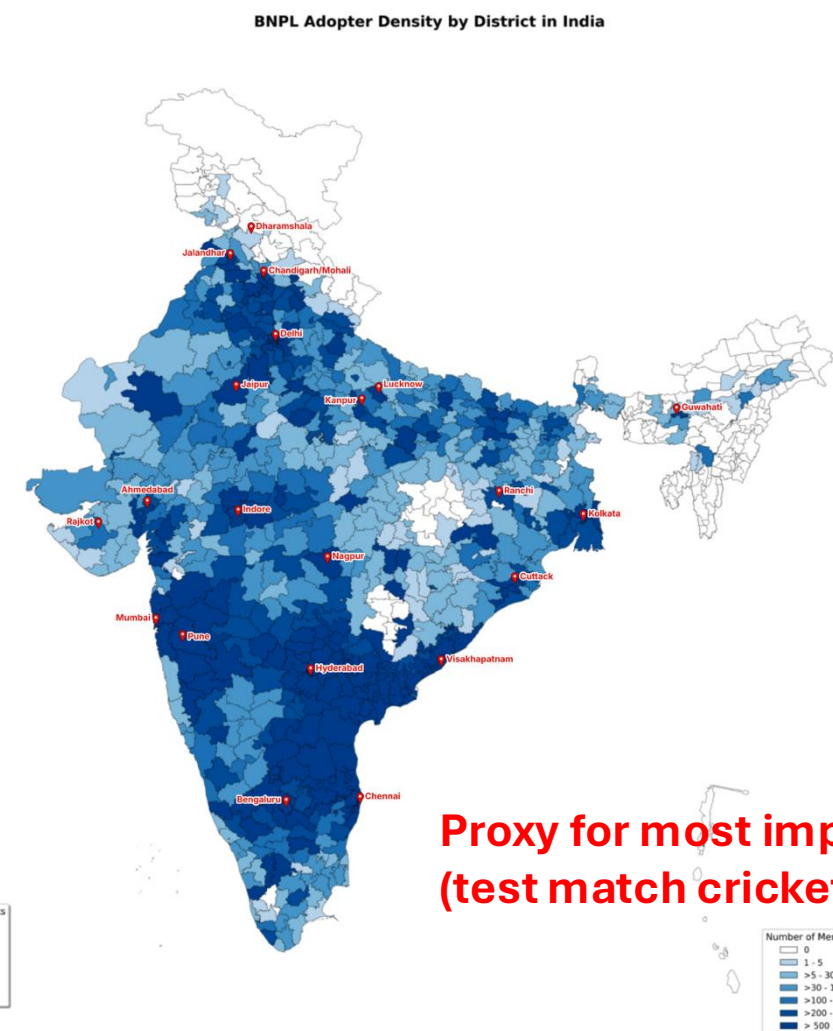


Figure 1: Merchant Distribution at the District Level



Proxy for most important areas of India
(test match cricket venues)

Figure 2: Adopter Distribution at the District Level

Key Assumption: Only BNPL Made High-UPI-Growth Pincodes Change Differently Post-November 2021

What else could matter?

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What else could matter?

- **UPI growth correlated with density** (varies with pincode), and density can affect post-November 2021 trajectory (e.g., COVID rebound, UPI credit policies)
 - Nightlights heterogeneity suggests this matters (Table 10)
- **UPI growth tracks broader digitalization:** is exposure to many non-BNPL shocks
 - “Generic” in Borusyak, Hull, & Jaravel (25 JEP)
- **UPI growth affects non-BNPL credit growth via UPI** as authors own work shows (Alok, Ghosh, Kulkarni, & Puri, 25)
- **Sample selection on outcomes** may bias estimates upward:
 - Keeps merchants: (1) BNPL adopters and (2) have business loan with firm
 - Including non-adopters reduces revenue growth effect from 93 to 49 pp (Table IA.4)
 - Log outcomes, so are zeros dropped? That would also bias estimates

Other Suggestions

- Show CDF of exposure and what correlates with exposure (ideally better exposure measure too)
- Add nightlights x month fixed effects
- Understanding what is driving adoption over time (merchant awareness or sophistication? regional variation in marketing campaigns?)
- Try stacked difference-in-differences comparing adopters vs. later adopters (maybe look for things to match on pre-BNPL adoption to address endogenous timing e.g., loan application)
- Show payment mix result (Table 8) in levels not % to ensure not mechanical
- Show how results change if weight merchants by their pre-policy revenues: that shows economic impact instead of equal weighting tiny and large merchants
- Show event time zero estimates

Thank You!



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